

Other matters besides the introduction of new products and the problems of starting complex plants can also open up buying opportunities in the unusual company. For example, a Middle Western electronic company was, among other things, well known for its unusual and excellent labor relations. It grew to a point where size alone forced some change in its method of handling employees. An unfortunate interplay of personalities caused friction, slow-down strikes, and low productivity in an enterprise heretofore known for its good labor relations and high labor productivity. At just this time the company made one of the very few mistakes it has made in judging the potential market for a new product. Earnings dropped precipitously and so did the price of the shares.

The unusually able and ingenious management made plans at once to correct this situation. While plans can be made in a matter of weeks, putting them into effect takes much longer. As results from these plans began coming through to earnings, the stock reached what might be called buying point A. However, it took about a year and a half before all the benefits could flow through to the profit statement. Toward the end of this period a second strike occurred, settlement of which was the last step needed to enable the company to restore competitive efficiency. This strike was not a long one. Nevertheless, while this short and relatively inexpensive strike was occurring, word went through the financial community that labor matters were going from bad to worse. In spite of heavy buying from officers of the company, the stock went lower. It did not stay lower for long. This proved to be another of the right sort of buying opportunities from the standpoint of timing, and might be called buying point B. Those who looked beneath the surface and saw what was really happening were able to buy, at bargain prices, a stock that may well grow for them for many years.

Let us see just how profitable it might have been if an investor had bought at either buying point A or buying point B. I do not intend to use the lowest price which a table of monthly price ranges would show that this stock reached in either period. This is because only a few hundred shares changed hands at the extreme low point. If an investor had bought at the absolute lows, it would have been more a matter of luck than anything else. Instead, I will use a figure moderately above the low in one case and several points above in the other. In each instance a good many thousand shares were available and changed hands at these levels. I will use only prices at